respect to their intrinsic position, speculative bonds—and, to a lesser degree, preferred stocks—derive important advantages from their contractual rights. The fixed obligation to pay bond interest will usually result in the continuation of such payments as long as they are in any way possible. If we assume that a fairly large proportion of a group of carefully selected low-priced bonds will escape default, the income received on the group as a whole over a period of time will undoubtedly far exceed the dividend return on similarly priced common stocks.

Preferred shares occupy an immeasurably weaker position in this regard, but even here the provisions transferring voting control to the senior shares in the event of suspension of dividends will be found in some cases to impel their continuance. Where the cash resources are ample, the desire to maintain an unbroken record and to avoid accumulations will frequently result in paying preferred dividends even though poor earnings have depressed the market price.

Examples: Century Ribbon Mills, Inc., failed to earn its 7% preferred dividend in eight out of the thirteen years from 1926 to 1938, inclusive, and the price repeatedly declined to about 50. Yet the preferred dividend was continued without interruption during this entire period, while the common received a total of but 50 cents. Similarly, a purchaser of Universal Pictures Company First Preferred at about 30 in 1929 would have received the 8% dividend during three years of depression before the payment was finally suspended.

Contrasting Importance of Contractual Terms in Speculation and Investment. The reader should appreciate the distinction between the *investment* and the *speculative* qualities of preferred stocks in this matter of dividend continuance. From the investment standpoint, *i.e.*, the *dependability* of the dividend, the absence of an enforceable claim is a disadvantage as compared with bonds. From the speculative standpoint, *i.e.*, the possibility of dividends' being continued under unfavorable conditions, preferred stocks have certain semicontractual claims to consideration by the directors that undoubtedly give them an advantage over common stocks.

Bearing of Working-Capital and Sinking-Fund Factors on Safety of Speculative Senior Issues. A large working capital, which has been characteristic of even nonprosperous industrials for some years past, is much more directly advantageous to the senior securities than to the common stock. Not only does it make possible the continuance of interest or